Reliable Wealth Creation in Seattle's Thriving Real Estate Market

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Executive Summary

Seattle's robust, multi-faceted economy offers a prime Real Estate Investment opportunity.

The **Admiral Ridge Apartments** capitalizes on this diverse growth, acquired as an off-market deal from long term mom-and-pop owners providing strong value add potential.

OFFERING SUMMARY	
Purchase Price / $ Per Unit	**$3,150,000 / $242,000**
Unit Count	**13 Units** | All 100% Market Rate Housing
Year Built	**1969** | Brand new roof in 2024
True Off Market Opportunity	**Direct Purchase** from Owner of 24 Years, 100% Off Market Transaction
Investment Type	**Regulation D. 506(c)**
Total Equity Required	**$1,300,000**

Projected Returns to Investors

Quarterly distributions starting Q1 2026

16%

Target IRR

2.5x

Equity Multiple over 7 years

7.5%

Cash-on-Cash Return

Investment Terms

7 years
Anticipated hold period

$50,000
Minimum investment

7%
Preferred return

70/30
Profit split (LP/GP) after pref

506(c) offering, exclusively for accredited investors

Regular reporting and transparent communication

Quarterly distributions

Where There is Growth, There is Demand

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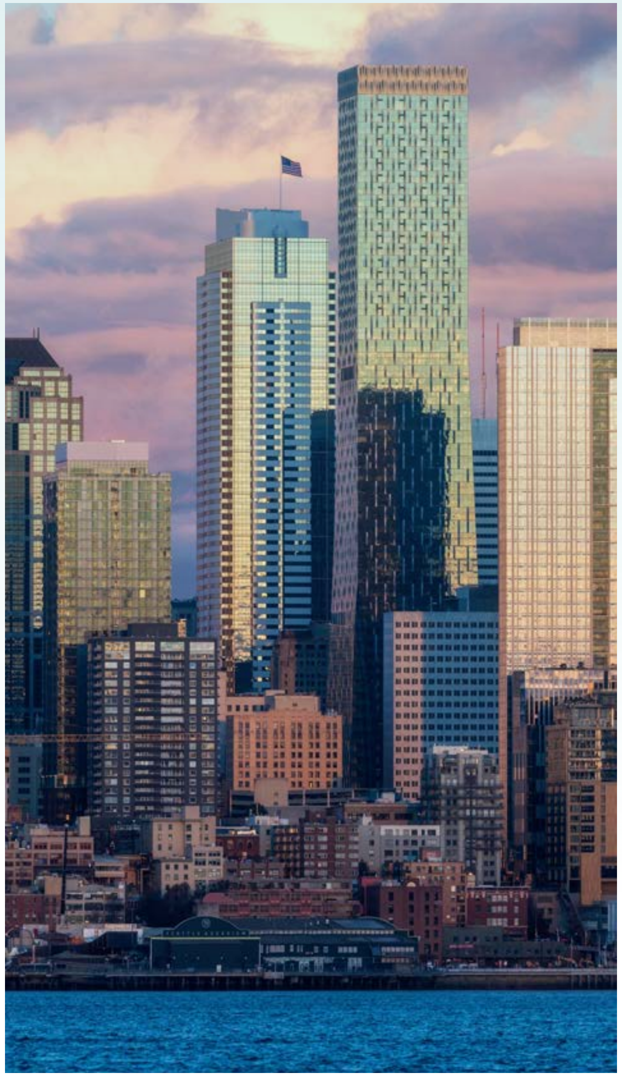
Seattle: A Thriving Economic Powerhouse

Seattle's tech-driven economy, population growth, and housing demand create a fertile ground for real estate investment.



$600B

GDP for the Seattle MSA, with robust growth in tech, healthcare, and manufacturing sectors.

1.2%

projected annual population growth (2023-2027), compared to the national average of 0.4%.

154,900

people expected to migrate into Seattle over the next four years.

Seattle MSA Leads the Nation for Stability and Opportunity

Claiming the top spot among U.S. real estate markets for its economic depth, low CRE distress, and strong fundamentals.

01

Robust Economy

Anchored by major employers like Amazon, Microsoft, and Boeing, Seattle's economy continues to grow.

02

Low CRE Distress

Seattle's commercial real estate market has one of the lowest levels of special servicing rates and debt delinquencies, signaling strong investment fundamentals.

03

Strong Leverage Control

Despite maturing loans and market fluctuations, the Seattle MSA maintains lower leverage levels compared to other top U.S. metros, ensuring long-term stability.

04

Favorable Debt Market Conditions

With only 2.5% of outstanding loans originated in the past year, Seattle remains insulated from over-leveraging risks seen in other regions.

A Magnet for Tech and High-Earning Professionals

Seattle's legacy as a premier hub for high-earning tech professionals continues to attract top employers and talent alike.

12 Fortune 500 companies are headquartered in the Seattle MSA

COMPANY	INDUSTRY	LOCATION	ZIP CODE	EMPLOYEES	REVENUE ($M)	PROFIT ($M)	SYMBOL
Alaska Air Group	Airlines	Seattle	98188	24,610	10,426	5,408	ALK
amazon	Internet Services and Retailing	Seattle	98109	1,525000	574,785	1,873,676	AMZN
Expeditors	Transportation and Logistics	Seattle	98104	18,452	9,300	17,249	EXPD
expedia group	Internet Services and Retailing	Seattle	98119	17,100	12,839	18,774	EXPE
PACCAR	Motor Vehicles & Parts	Bellevue	98004	32,400	35,127	64,920	PCAR
coupang	Internet Services and Retailing	Seattle	98101	78,000	24,383	31,903	CPNG
Microsoft	Computer Software	Redmond	98052	221,000	211,915	3,126,133	MSFT
NORDSTROM	General Merchandisers	Seattle	98101	54,000	14,693	3,309	JWN
Weyerhaeuser	Forest and Paper Products	Seattle	98104	9,318	7,674	26,201	WY
lululemon	Specialty Retailers: Apparel	Sumner	98390	38,000	9,619	49,225	LULU
COSTCO WHOLESALE	General Merchandisers	Issaquah	98027	316,000	242,290	324,924	COST
STARBUCKS	Food Services	Seattle	98134	381,000	35,976	103,472	SBUX

As Seattle's Economy Continues to Grow,

The demand for high-quality rental housing is poised to surge, setting a strong foundation for long-term returns.

$104,000

Median household income
(3rd highest in US)

1.2%

projected annual population growth **(3x US rate)**

44%

cost-burdened renters **(3rd lowest** among top 50 US cities)

65%

of households earn **$75,000+**

1.2%

annual housing unit growth; **limited new supply**

A Market Defined by Undersupply and Demand

Seattle's housing market faces supply constraints, **pushing rental demand higher**, especially in multifamily properties.

RENTERS MAKE UP

54%

of the Seattle population, the highest in 100 years.

AVERAGE HOME PRICE

$930K

in Seattle, limiting homeownership opportunities.

Rental vacancy rates projected to stay below 5.6% through 2028.

Consistency in Seattle

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This Is Why We Call Seattle Home.

After a decade operating in Seattle's ever-evolving market, we've witnessed **steady, consistent growth** driven by the region's economic expansion, tech dominance, and population increases. What was once projected has only scratched the surface, and the demand for high-quality multifamily housing continues to outpace supply.

By capitalizing on these trends, we've built a portfolio of **high-performing**, **resilient assets** while delivering **strong returns to** our investors. Our deep local market knowledge and proven track record position Southgate to continue benefiting from the immense potential Seattle offers, with plenty of opportunity still ahead.

Market Expertise: A Proven Advantage for Our Investors

We have been at the forefront of Seattle's sustained growth, consistently delivering strong returns by leveraging our **deep local expertise** and **strategic investment strategy.**

Our Formula for Repeated Success

In-house property management
ensures efficient operations and maximized tenant retention, leading to higher property value.

De-facto In-house construction management
allows us to control costs, stay on schedule, and accelerate project completion.

Our deep knowledge of Seattle and Washington State landlord-tenant laws
minimizes legal risks and protects income streams.

Long-standing relationships
with local brokers, lenders, and contractors allow us to secure off-market deals and execute quickly.

Meet the Team

Anthony Galluzzo

Anthony leads all aspects of Southgate Real Estate Ventures and has 17+ years of experience in multifamily investments in acquisitions, lending, asset management, property management, and risk analysis. He has completed over 25 multifamily and mixed-used projects where he acted as the managing member and oversaw the execution of business plans that involved substantial property renovation. The ability to identify mismanaged properties in growing markets and execute a renovation plan that extracts a high return on investment is Anthony's primary focus and his skill. Anthony received his BS in Business Administration at the University of Buffalo and his MBA in Real Estate at the University of Florida.

Michael Voulgarakis

Michael oversees operations, capital raising, asset management and investor relations, deal sourcing, and underwriting. His prior professional roles include 17+ years of experience in asset management and underwriting for value-add and stabilized multifamily, retail, and office assets for national owner / operators and lenders. Michael received his BS in Business Administration at Southern Connecticut State University and his MS in Real Estate Finance at New York University.

Southgate Ventures by the numbers

Deep Experience, Market Knowledge, & Vertical Integration

21	9	10	34
Acquired value-add multifamily properties in Seattle	Nearly a decade of experience operating in the Seattle MSA	Full cycle deals	Years of combined institutional experience between the sponsors.

Partnering For Prosperity with Southgate Ventures

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An Exclusive Opportunity in West Seattle

Admiral Ridge Apartments offers a **rare off-market** opportunity to invest in a premium, **value-add multifamily property** in Seattle's North Admiral district, poised for significant growth.

13-unit

Multifamily asset in the highly sought-after **North Admiral** neighborhood.

SECURED

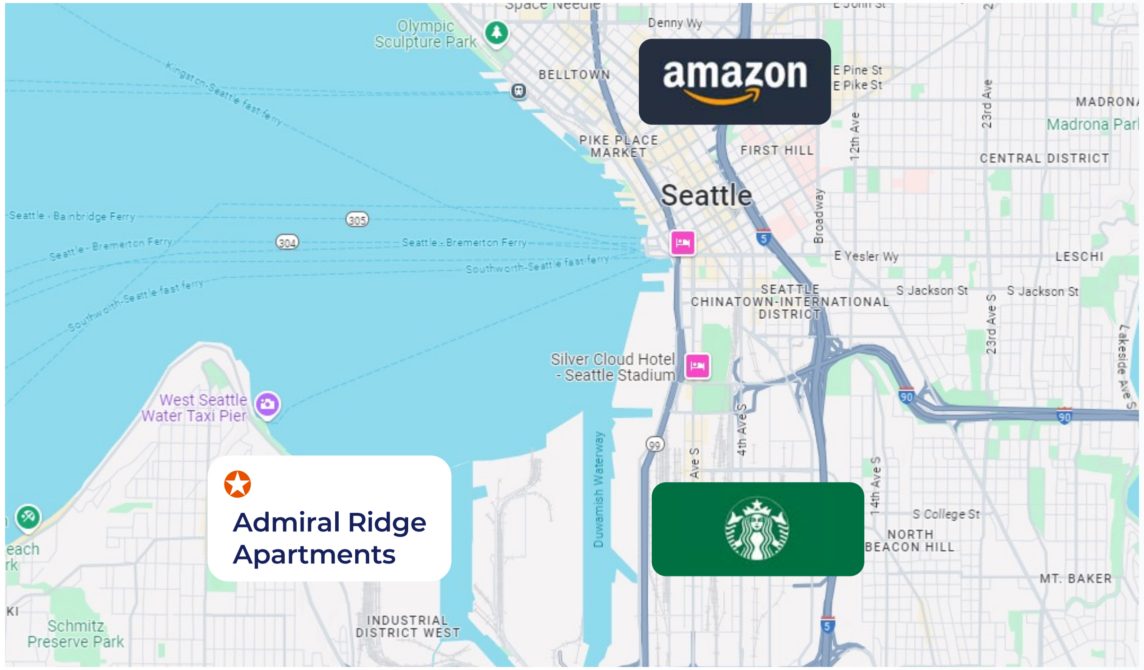
8.5%

Below market value, offering immediate built-in equity.

Strategic renovations and rent optimization designed to enhance long-term returns.

A Growth Oriented Investment in a Prime Location

Admiral Ridge Apartments offers a unique blend of location, tenant demand, and operational improvements for attractive returns.



4.35%
Going-In Cap Rate

9.39%
Cap Rate on **Purchase Price**

7.68%
Cap Rate on **Full Cost Basis**

3.5 Miles
from **Starbucks HQ** and 7 miles from **Amazon's** South Lake Union campus.

91 Walk Score
Walk Score: Walking distance to groceries, restaurants, and schools

Property Overview

Admiral Ridge
2600 41st Ave SW
Seattle 98116

10,446 sq ft

Of rentable area

13

parking spaces (1:1 ratio)

BUILT IN

1969

primed for value-add improvements

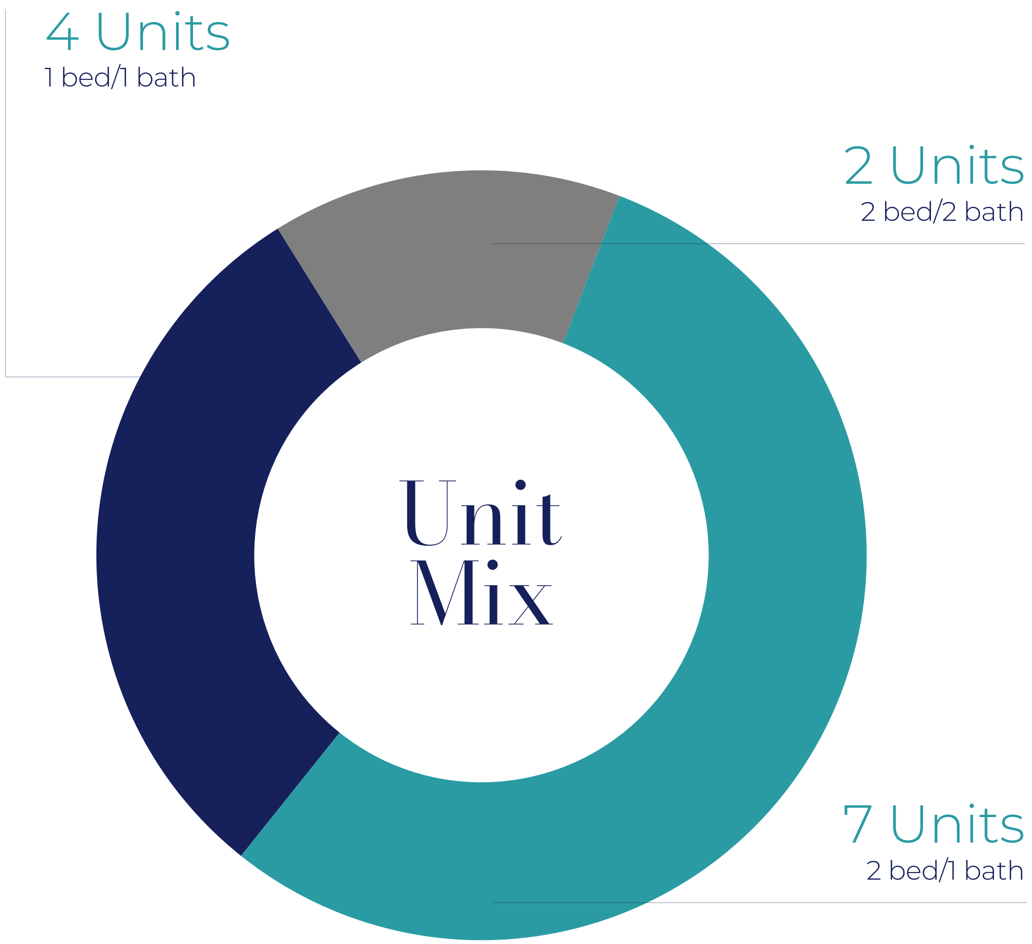
Recent roof Replacement (2024)

Elevator access to all floors

our only major capex expense

Unit Breakdown

UNITS	TYPE	UNIT SF	STABILIZED RENT PER MONTH	STABILIZED RENT PSF
4	1 bed/1 bath	550 SF	$1,760	$3.20
7	2 bed/1 bath	878 SF	$2,634	$3.00
2	2 bed/2 bath	1,050 SF	$2,993	$2.85



Maximizing Property Value Through Targeted Renovations

A comprehensive renovation plan will unlock significant rent growth and enhance the property's long-term value.







Interior upgrades

New countertops, cabinets, lighting, flooring modernized elevator and in-unit W/D.

Exterior upgrades

Improved curb appeal, security enhancements.

Operational improvements

Implement RUBS, optimize property management in-house to reduce costs.

Projected rent increases

48% across all unit types

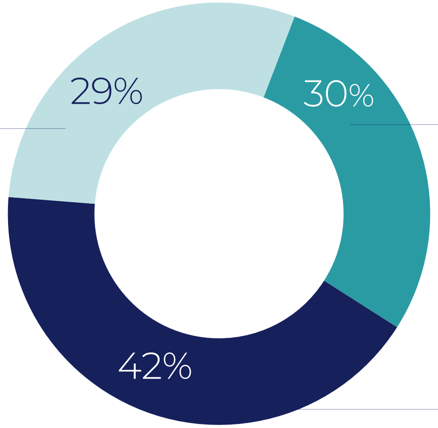
Budget Overview

Southgate's vertically integrated approach ensures cost-effective execution of renovations, boosting investor returns.

$200,000
In-Unit Renovations

$209,790
Project Oversight

$709,290
Total Renovation Budget



$299,500
Exterior/Infrastructure

Timeline

UNIT RENOVATIONS			
ITEM	MONTH START	MONTH END	TOTAL MONTHS
Reno Type1	Month 3	Month 10	8 Months
Reno Type2	Month 4	Month 13	10 Months
Reno Type3	Month 0	Month 0	1 Months
Subtotal	**Month 3**	**Month 13**	**11 Months**

RENOVATION HARD COSTS			
ITEM	MONTH START	MONTH END	TOTAL MONTHS
All Items	Month 4	Month 9	6 Months

OVERALL RENOVATION BUDGET			
ITEM	MONTH START	MONTH END	TOTAL MONTHS
All Items	Month 3	Month 13	11 Months

UNIT RENOVATIONS			
ITEM	TOTAL	PER UNIT	PER SF
Reno Type1	$140,000	$20,000	$24.00
Reno Type2	$60,000	$10,000	$13.01
Reno Type3	$0	$0	$0.00
Subtotal	**$200,000**	**$15,385**	**$19**

EXTERIOR & INFRASTRUCTURE RENOVATIONS			
ITEM	TOTAL	PER UNIT	PER SF
Windows / Exterior Door replacement	$0	$0	$.0.00
Security Camera Monitoring System	$7,500	$577	$0.72
Exterior Lighting/Signage	$4,000	$308	$0.38
Seismic retrofit	$0	$0	$0.00
Parking Re-Seal / Stripe / Number	$2,000	$154	$0.19
Landscaping		$0	$0.00
Paint		$0	$0.00
Galvanized Plumbing	$50,000	$3,846	$4.79
Electrical	$2,000	$154	$0.19
Masonry	$2,000	$154	$0.19
Steelwork	$2,000	$154	$0.19
Roof	$0	$0	$0.00
Gutter	$0	$0	$0.00
Powerwash		$0	$0.00
Elevator	$230,000	$17,692	$22.02
Subtotal	**$299,500**	**$23,038**	**$28.67**

OVERALL RENOVATION BUDGET			
ITEM	TOTAL	PER UNIT	PER SF
Site Supervision	$49,950	$3,842	$4.78
Contingency	$49,950	$3,842	$4.78
Construction Management Fee	$109,890	$8,453	$10.52
Total Renovation Budget	**$709,290**	**$54,561**	**$67.90**

A Brief Market Deep Dive

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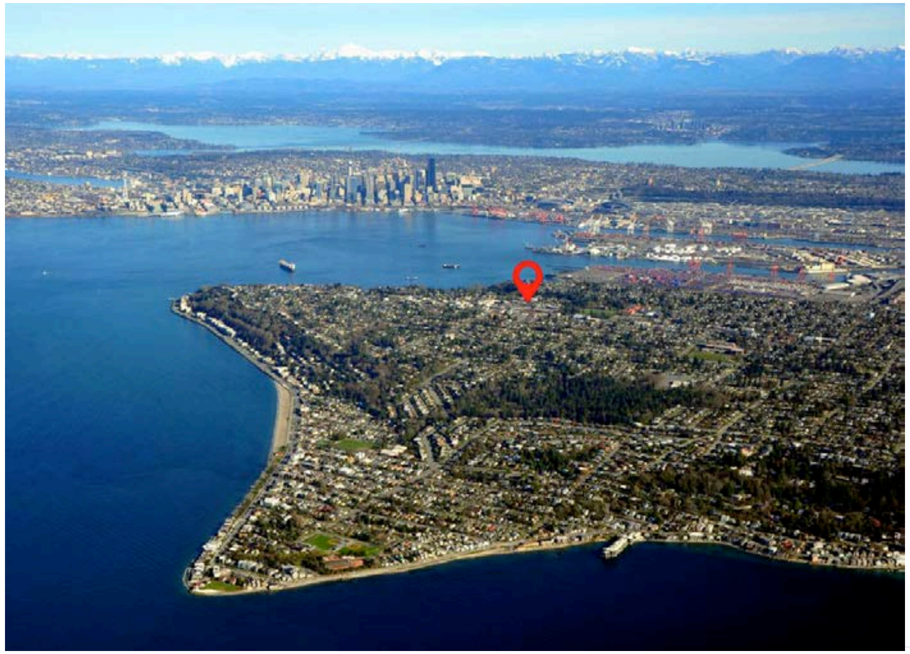
West Seattle: Where Professionals and Families Find Work-Life Balance

Nestled in the **North Admiral** district of West Seattle, Admiral Ridge Apartments offer residents a vibrant neighborhood with access to urban amenities and serene outdoor spaces.

Known for its charming residential streets, boutique shops, historic theaters, and top-rated schools, this neighborhood is highly desirable for both professionals and families seeking a balanced lifestyle.



Balancing Supply Constraints with Growing Demand

With inventory growth projected at just 0.6% to 1.5% and steady rental demand, West Seattle remains a competitive housing market for high-income earners.

$130,684

Average Household Income in 98116

$129,924

Median Household Income in 98116

$899,950

Median home Price in 98116

41.1%

Renter Occupied Housing in 98116

Supply Constraints

Limited inventory growth projections of only **0.6% to 1.5% annually** from 2024 through 2028 highlight supply limitations.

Demand Dynamics

Vacancy projections for the overall submarket range from **5.40% to 6.60%** from 2024 through 2028, indicating a steady demand for rental units.

North Admiral District: A Walker's Paradise

With a Walk Score of 91

residents are within walking distance of grocery stores, restaurants, schools, and essential services—offering a true "live, work, play" experience.

Access to Outdoor Recreation

Only 1.5 miles from **Alki Beach**, where residents can enjoy waterfront dining, walking trails, and summer events, plus **Hiawatha Park** is just two blocks away for family-friendly recreation.

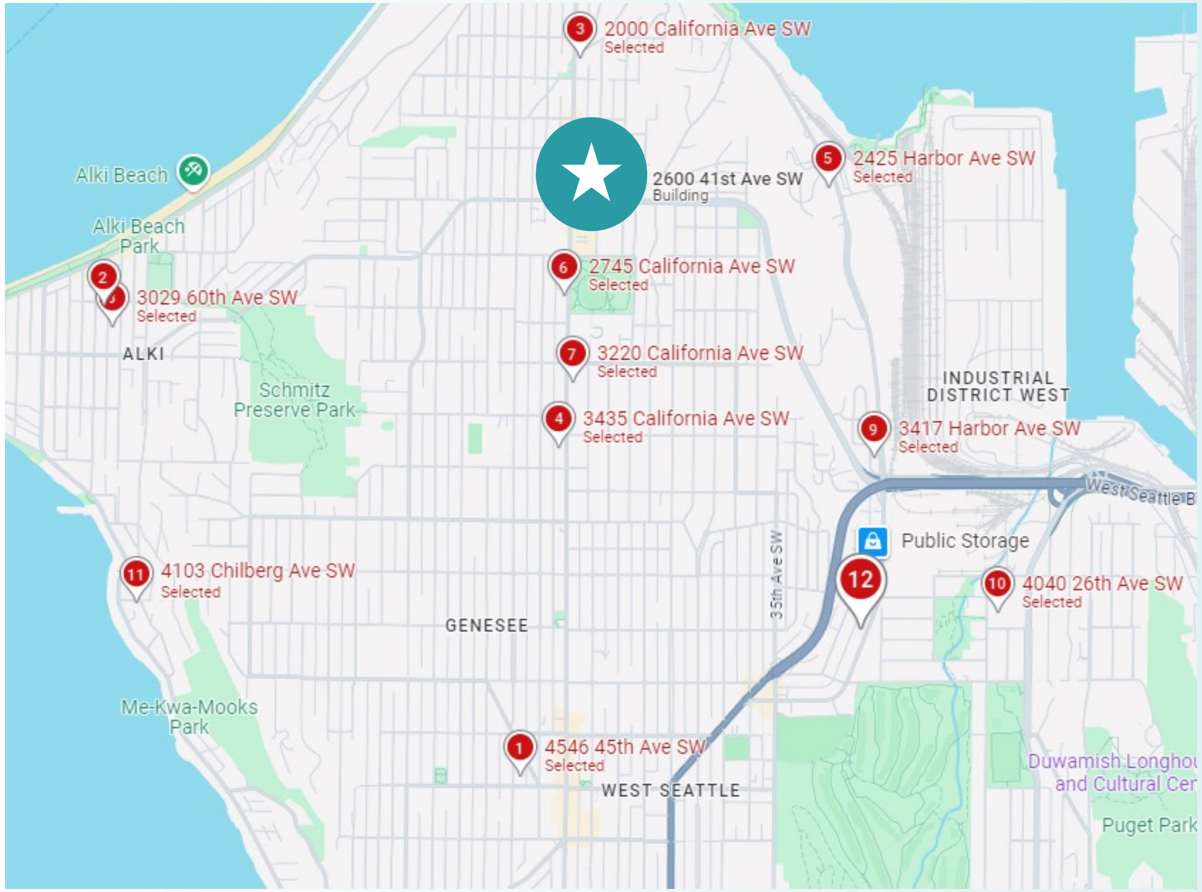
Direct Routes: Streamlined Commuting to Downtown Seattle

Admiral Ridge is uniquely positioned along SW Admiral Way, a vital east-west corridor providing swift access to State Route 99 just 2.7 miles east and I-5, approximate 3.5 miles east.

Multiple public transportation options, including a nearby bus stop and the West Seattle Water Taxi, provide quick and convenient access to downtown Seattle in under 20 minutes.

Rent Comparables

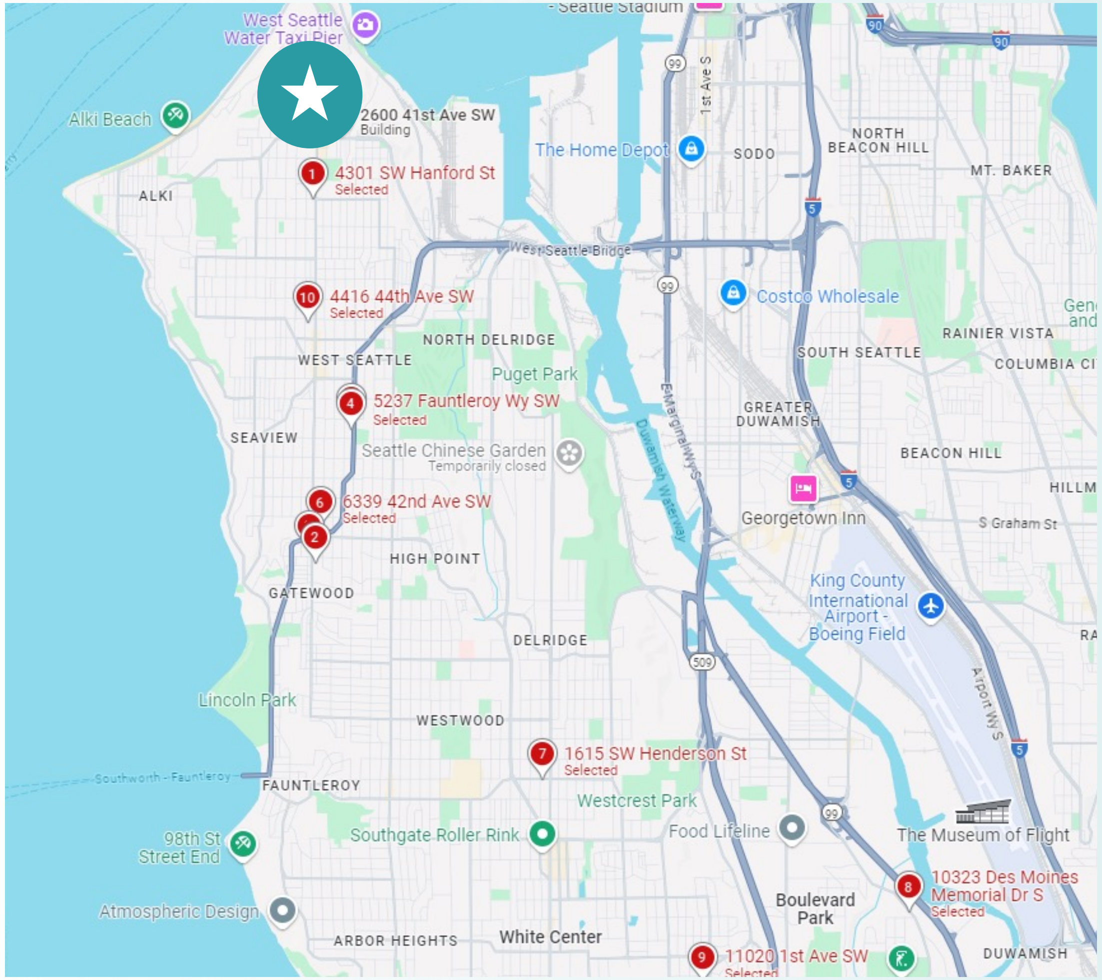
PROPERTY	NUMBER
The Admiral Apartments	★
ALASKA 45	1
Marram Alki	2
North Admiral	3
3435 California	4
Harbor Square	5
Luna	6
Springline	7
3029 60th	8
Harbor Flats	9
Youngstown Flats	10
4103 Chillberg	11
West 9	12



Sale Comparables

The Property will be acquired for a price that is ~ 16% below the average Per Unit Price of Unrenovated Comparables.

PROPERTY	NUMBER
The Admiral Apartments	★
Donna J Apts	1
California Court	2
West 8	3
5237 Fauntleroy	4
5221 Fauntleroy	5
Bruce Apts	6
Leeward	7
Ranier Golf10	8
Snider	9
2 Gables	10



Detailed Financial Overview

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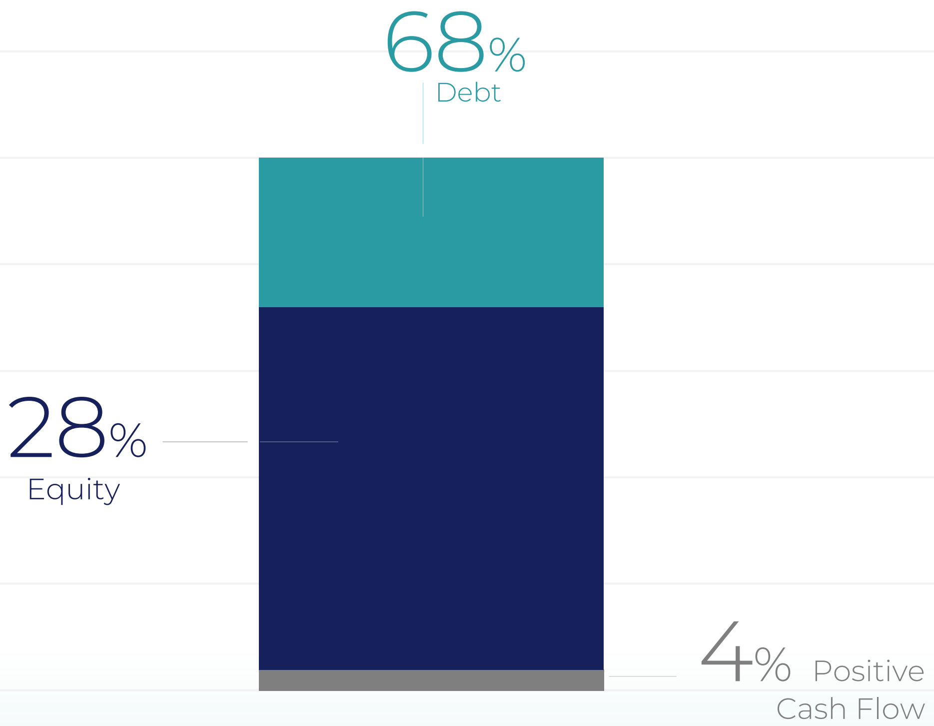
Total Capitalization



Total: **$4,246,113**

SOURCES	AMOUNT	PERCENTAGE
Debt	$2,901,350	68%
Equity	$1,195,693	28%
Positive Cash Flow	$149,070	4%
Total	**$4,246,113**	**100%**

USES	AMOUNT	PERCENTAGE
Purchase Price	**$3,150,000**	**74%**
Closing Costs	$31,500	1%
Lender Origination Fees	$24,758	1%
Acquisition Fee	$94,500	2%
Pursuit Costs (Less Earnest Money Deposit)	$38,500	1%
TI / LC	$65,174	2%
Construction Costs	$599,400	14%
Lender Origination Fees for additional proceeds	$4,256	0%
Construction Management Fee	$109,890	3%
Attorney Cost & Tenant Buyout Fees	$25,000	1%
Tax Certiorari Cost	$6,000	0%
Perm Refi Mortgage Broker Fee (2.0%)	$64,757	2%
Out of Pocket Fee (1.0%)	$32,379	1%
Total	**$4,246,113**	**100%**

Projected Returns to Investors

INVESTOR-LEVEL RETURNS:

16%
IRR

2.5x
EM

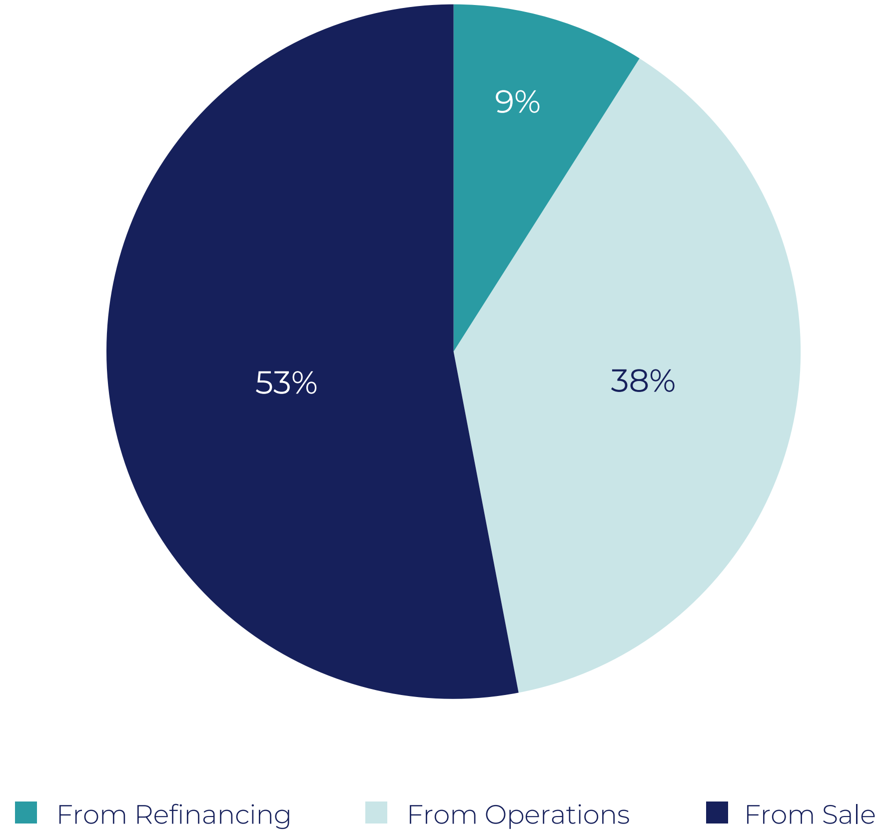
7.5%
Cash on Cash

$100,000 SAMPLE INVESTMENT FOR CLASS A

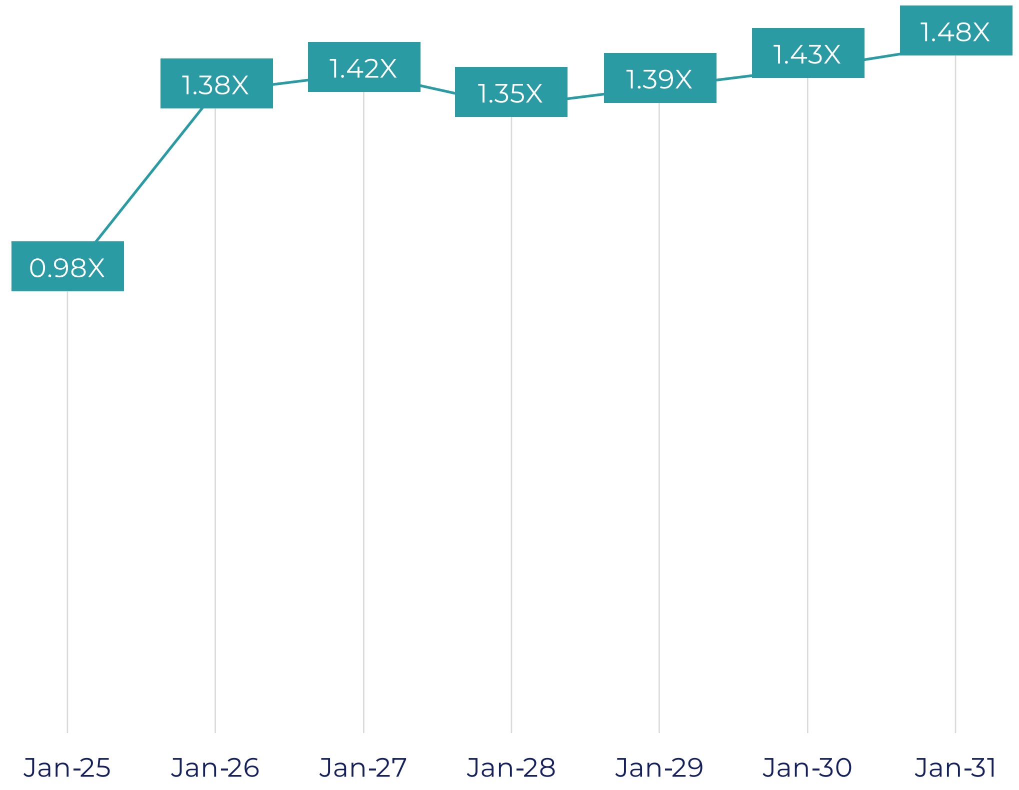
	Investment	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	**Total Return**
Cash Flow %		0.0%	5.0%	7.1%	6.1%	7.0%	7.9%	11.6%	
Cash Flow	-$100,000	$0	$4,954	$6,204	$5,333	$6,105	$6,900	$10,134	$39,630
Return on Refinance	$0	$0	$12,365	$0	$0	$0	$0	$0	$12,356
Return on Sale	$0	$0	$0	$0	$0	$0	$0	$197,850	$197,850
Total Return	**-$100,000**	**$0**	**$17,319**	**$6,204**	**$5,333**	**$6,105**	**$6,900**	**$207,984**	**$249,845**

Investment Highlights

IRR Partitioning

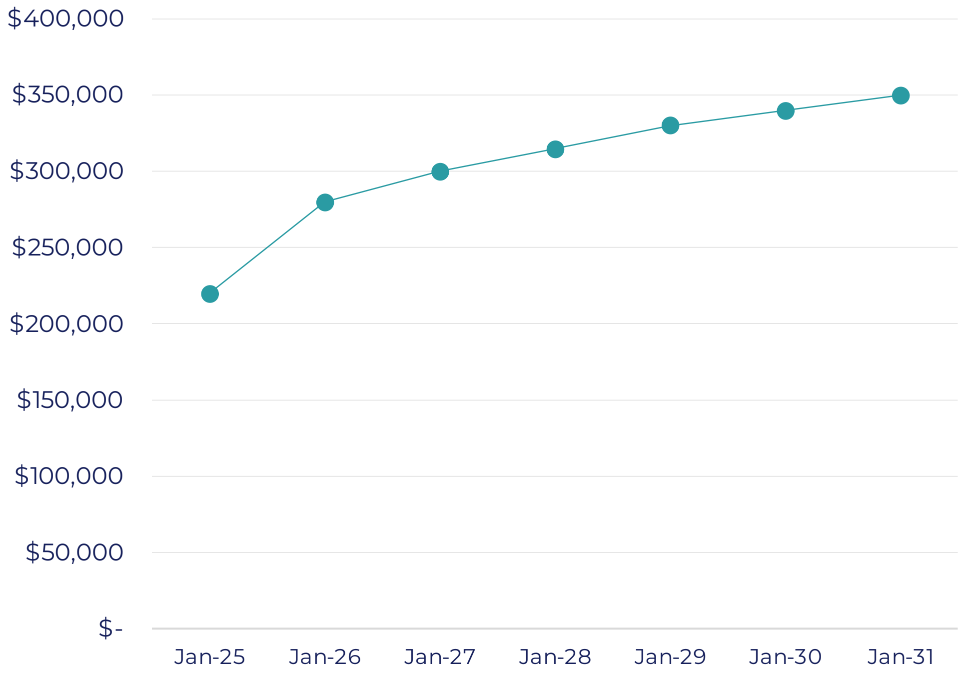


Dscr (Actual Loan Payments)

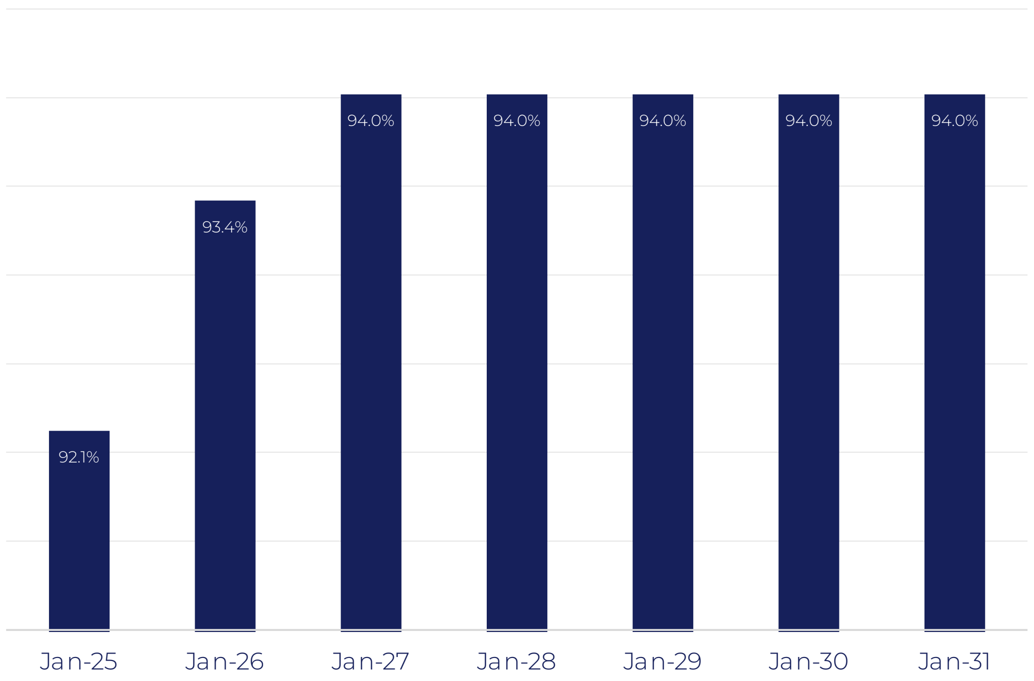


Investment Highlights

Net Operating Income



Average Annual Occupancy



Assumptions

	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	YEAR 6	YEAR 7	YEAR 8
Physical Vacancy	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%
Lose-to-Lease	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Bad Debt	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%	0.50%
Concessions	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Other Loss	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%

	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	YEAR 6	YEAR 7	YEAR 8
Market Rent Growth	4.00%	3.50%	3.00%	3.00%	3.00%	3.00%	3.00%	3.00%
Other Income Growth	4.00%	3.50%	3.00%	3.00%	3.00%	3.00%	3.00%	3.00%
Expense Growth/Inflation	3.00%	3.00%	3.00%	3.00%	3.00%	3.00%	3.00%	3.00%
Property Tax Growth Rates	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%	2.00%
Property Tax Growth Index	1.00	1.02	1.04	1.06	1.08	1.10	1.13	1.15

PROPERTY TAX BUILD-UP	
Current AV	$3,448,000
Current Tax	$ 28,333
Millage Rate	0.822%
PLATAFORM TAX CALCULATION	
Purchase Price	$3,150,000
Year of Reassessment	Year 1
% of Value Assessed	100%
Millage Rate Used	0.950%

Assumptions

PARKING INCOME ANALYSIS	
# of Parking Lots	13
Historical Monthly Income	$0
Historical Income per Lot	$0.00
Proforma per Lot Income	$100.00
Proforma Monthly Income	$1,300.00
Proforma Annual Income	$15,600.00
Fixed % (occupancy independent)	0.00%

STORAGE INCOME ANALYSIS	
# of Storages	6
Historical Monthly Income	$0
Historical Income per Storage	$0.00
Proforma per Storage Income	$20.00
Proforma Monthly Income	$120.00
Proforma Annual Income	$1,440.00
Fixed % (occupancy independent)	0.00%

OTHER INCOME	
Historical Monthly Income	$ 168
Historical Income per Unit	$13
Delta on Hist CF	0.00%
Override per Unit Month. Income	$20
Proforma Monthly Income	$260
Proforma Annual Income	$3,120
Fixed % (occupancy independent)	10.00%

TOTAL OTHER INCOMES		
	Monthly	Annual
Parking	$1,300.00	$15,600
Storage	$120.00	$1,440
Utility Reimbursements	$1,544	$18,525
Other Income	$260	$3,120
TOTAL OTHER INCOME	$3,223.75	$38,685.00

OPERATING EXPENSES

Operating Expenses	Historical CF (Annual)		Override (Per unit- Annual)		Proforma (Annual)		
	Total	**Per Unit**	**Delta on Hist CF**	**Override (per Unit)**	**Per Unit**	**Total**	**Fixed %**
Payroll / Maintenance	$ 0	$ 0	3.00%	$ 0	$ 0	$ 0	50.00%
R&M	$ 39,794	$ 3,061	3.00%	$ 1,200	$ 1,200	$ 15,600	50.00%
Insurance	$ 20,117	$ 1,547	3.00%	$ 800	$ 800	$ 10,400	100.00%
Water/Sewer	$ 23,189	$ 1,784	3.00%	$ 1,080	$ 1,080	$ 14,040	5.00%
Electric	$ 0	$ 0	3.00%	$ 120	$ 120	$ 1,560	5.00%
Gas	$ 0	$ 0	3.00%	$ 0	$ 0	$ 0	5.00%
Trash	$ 0	$ 0	3.00%	$ 300	$ 300	$ 3,900	5.00%
Legal & Administrative	$ 2,607	$ 201	3.00%	$ 500	$ 500	$ 6,500	0.00%
Turnover	$ 0	$ 0	3.00%	$ 300	$ 300	$ 3,900	0.00%
Grounds Maintenance	$ 1,044	$ 80	3.00%	$ 150	$ 150	$ 1,950	0.00%
Pest Control	$ 0	$ 0	3.00%	$ 90	$ 90	$ 1,170	0.00%
Security	$ 0	$ 0	3.00%	$ 20	$ 20	$ 260	0.00%
Fire / Life Safety	$ 0	$ 0	3.00%	$ 10	$ 10	$ 130	0.00%
Marketing / Advertising	$ 0	$ 0	3.00%	$ 100	$ 100	$ 1,300	0.00%
Other Expenses	$ 0	$ 0	3.00%	$ 100	$ 100	$ 1,300	0.00%
Investor Portal	$ 0	$ 0	3.00%	$ 0	$ 0	$ 0	0.00%
Replacement Reserves	$ 3,250	$ 250		$ 250	$ 250	$ 3,250	100.00%
Mgt Fee	$ 0	0	3.00%		$ 1,452	$ 18,878	100.00%
Mgt Fee as %of EGI	5.00%	TRUE					
Taxes	$ 28,333	$ 2,179			$ 2,302	$ 29,925	100.00%
Total Operating Expenses	$ 118,334	$ 8,853			$ 8,774	$ 114,063	

Proforma

		STABILIZED-AS-			
		In-Place	Per Unit	Complete	Per Unit
REVENUES	**Rental Revenue**				
	Gross Potential Rent	$247,259	$19,020	$394,916	$30,378
	Physical Vacancy	$0	$0	($23,695)	($1,823)
	Lose-to-Lease	$0	$0	($1,856)	($143)
	Bad Debt	$0	$0	($1,847)	($142)
	Concessions	$0	$0	$0	$0
	Other Loss	$0	$0	$0	$0
	Total Rental Revenue	**$247,259**	**$19,020**	**$367,518**	**$28,271**
	Other Income				
	Parking	$0	$0	$15,338	$1,180
	Storage	$0	$0	$1,416	$109
	Utility Reimbursement	$0	$0	$18,214	$1,401
	Other Income	$2,010	$155	$3,087	$237
	Total Other Income	**$2,010**	**$155**	**$38,055**	**$2,927**
	EGI	**$249,269**	**$19,175**	**$405,574**	**$31,198**
EXPENSES	Mgt Fee	$0	$0	($20,279)	($1,560)
	Payroll / Maintenance	$0	$0	$0	$0
	Taxes	($28,333)	($2,179)	($30,524)	($2,348)
	R&M	($39,794)	($3,061)	($15,663)	($1,205)
	Insurance	($14,000)	($1,077)	($10,765)	($828)
	Water/Sewer	($23,189)	($1,784)	($13,704)	($1,054)
	Electric	$0	$0	($1,523)	($117)
	Gas	$0	$0	$0	$0
	Trash	$0	$0	($3,807)	($293)
	Legal & Administrative	$2,607	$201	($6,324)	($486)
	Turnover	$0	$0	($3,795)	($292)
	Grounds Maintenance	$1,044	$80	($1,897)	($146)
	Pest Control	$0	$0	($1,138)	($88)
	Security	$0	$0	($253)	($20)
	Fire / Life Safety	$0	$0	($126)	($10)
	Marketing / Advertising	$0	$0	($1,265)	($97)
	Other Expenses	$0	$0	($1,265)	($97)
	Investor Portal	$0	$0	$0	$0
	TOTAL EXPENSES	**($108,967)**	**($8,382)**	**($112,328)**	**($8,641)**
	NET OPERATING INCOME	**$140,302**	**$10,792**	**$293,246**	**$22,557**

Financing Summary

	POTENTIAL ACQUISITION LOANS	REFINANCE LOAN
	Loan 1	
Loan Type	Bridge	Refinance
Size By	LTC	DSCR
Loan Amount	$2,475,776	$3,237,861
Max LTV	70%	75%
Max LTC	70%	75%
Minimum DSCR	1.25x	1.30x
Minimum Debt Yield	7.00%	8.00%
Cap Rate Used For Valuation		5.25%
% of Construction Costs Funded By Loan	60%	
Total Loan Amount	$2,901,350	$3,237,861
Repayment Type	Equal Amortizing + Int Only	Equal Amortizing + Int O
Fixed/Floating	Floating	Fixed
Fixed Interest Rate Index	30-Day SOFR	5-Year Treasury
Spread	5.00%	2.52%
Fixed Interest All-In Rate	9.96%	6.00%
Term	18 Months	84 Months
Interest Only	18 Months	12 Months
Amortization	0 Years	30 Years
Prepayment Window	18 Months	12 Months
Prepayment Penalty (% of Outstanding B	0.00%	0.00%
Lender Origination Fee (as % of Proceeds)	1.00%	1.00%
Comments		
Senior Loan Selection	Yes	
Mezzanine Loan Selection		
To be Refinanced	Yes	
Rate Cap (including spread)	0.00%	
Rate Cap Fee %	0.00%	
Rate Cap Fee	$0	$0

Sensitivity Analysis

EFFECT ON LEVERED IRR / EQUITY MULTIPLE

Hold Period

			60 Months	72 Months	84 Months	96 Months	108 Months
Exit Cap Rate	**5.25%**	-0.50%	35.64% / 3.02x	31.13% / 3.30x	28.08% / 3.60x	25.88% / 3.92x	24.20% / 4.25x
	5.50%	-0.25%	32.64% / 2.76x	28.93% / 3.03x	26.40% / 3.33x	24.54% / 3.63x	23.12% / 3.96x
	5.75%	0.00%	29.69% / 2.52x	27.78% / 2.79x	24.74% / 3.08x	23.23% / 3.38x	22.05% / 3.70x
	6.00%	0.25%	26.77% / 2.31x	24.64% / 2.57x	23.11% / 2.85x	21.94% / 3.14x	21.01% / 3.45x
	6.25%	0.50%	23.87% / 2.11x	22.52% / 2.37x	21.48% / 2.64x	20.66% / 2.93x	19.98% / 3.23x

EFFECT ON LEVERED IRR / EQUITY MULTIPLE

Rent Growth

			2.64%	2.89%	3.14%	3.39%	3.64%
Exit Cap Rate	**5.25%**	-0.50%	26.11% / 3.36x	27.10% / 3.48x	28.08% / 3.60x	29.06% / 3.72x	30.02% / 3.85x
	5.50%	-0.25%	24.39% / 3.09x	25.40% / 3.21x	26.40% / 3.33x	27.39% / 3.44x	28.38% / 3.56x
	5.75%	0.00%	22.69% / 2.85x	23.72% / 2.96x	24.74% / 3.08x	25.76% / 3.19x	26.76% / 3.31x
	6.00%	0.25%	21.00% / 2.63x	22.06% / 2.74x	23.11% / 2.85x	24.14% / 2.96x	25.17% / 3.07x
	6.25%	0.50%	19.33% / 2.43x	20.35% / 2.53x	21.48% / 2.64x	22.55% / 2.74x	23.60% / 2.85x

EFFECT ON LEVERED IRR / EQUITY MULTIPLE

Expense Inflation

			2.50%	2.75%	3.00%	3.25%	3.50%
Rent Growth	**2.64%**	-0.50%	23.06% / 2.89x	22.88% / 2.87x	22.69% / 2.85x	22.50% / 2.83x	22.30% / 2.81x
	2.89%	-0.25%	24.09% / 3.00x	23.90% / 2.98x	23.72% / 2.96x	23.53% / 2.94x	23.34% / 2.92x
	3.14%	0.00%	25.10% / 3.12x	24.92% / 3.10x	24.74% / 3.08x	24.56% / 3.06x	24.37% / 3.04x
	3.39%	0.25%	26.11% / 3.23x	25.93% / 3.21x	25.76% / 3.19x	25.57% / 3.17x	25.39% / 3.15x
	3.64%	0.50%	27.11% / 3.35x	26.94% / 3.33x	26.76% / 3.31x	26.58% / 3.29x	26.40% / 3.26x

EFFECT ON LEVERED IRR / EQUITY MULTIPLE

Stabilized Vacancy

			4.00%	5.00%	6.00%	7.00%	8.00%
Rent Growth	**2.64%**	-0.50%	24.62% / 2.99x	23.65% / 2.92x	22.69% / 2.85x	21.74% / 2.78x	20.80% / 2.71x
	2.89%	-0.25%	25.66% / 3.11x	24.69% / 3.03x	23.72% / 2.96x	22.76% / 2.89x	21.82% / 2.82x
	3.14%	0.00%	26.70% / 3.22x	25.71% / 3.15x	24.74% / 3.08x	23.78% / 3.00x	22.82% / 2.93x
	3.39%	0.25%	27.73% / 3.34x	26.74% / 3.26x	25.76% / 3.19x	24.79% / 3.12x	23.82% / 3.04x
	3.64%	0.50%	28.75% / 3.45x	27.75% / 3.38x	26.76% / 3.31x	25.79% / 3.23x	24.82% / 3.16x

Sensitivity Analysis

EFFECT ON LEVERED IRR CASH ON CASH

Stabilized Vacancy

			4.00%	**5.00%**	**6.00%**	**7.00%**	**8.00%**
Rent Growth	**2.64%**	-0,50%	8.42%	7.84%	7.32%	6.85%	6.43%
	2.89%	-0.25%	8.91%	8.29%	7.73%	7.23%	6.77%
	3.14%	0.00%	9.44%	8.76%	8.16%	7.62%	7.13%
	3.39%	0.25%	10.00%	9.27%	8.62%	8.03%	7.51%
	3.64%	0.50%	10.60%	9.80%	9.10%	8.47%	7.91%

EFFECT ON LEVERED IRR / EQUITY MULTIPLE

Interest Rate

		Bridge Loan	7.59%	7.84%	8.09%	8.34%	8.59%
		Perm Loan	5.50&	5.75%	6.00%	6.25%	6.50%
		18.80% / 2.90x	-0.50%	-0,25%	0.00%	0.25%	0.50%
Rent Growth	2.64%	-0.50%	25.17% / 2.90x	23.88% / 2.88x	22.69% / 2.85x	21.58% / 2.82x	20.57% / 2.79x
	2.89%	-0.25%	26.26% / 3.01x	24.93% / 2.99x	23.72% / 2.96x	22.58% / 2.93x	21.55% / 2.90x
	3.14%	0.00%	27.34% / 3.12x	25.98% / 3.10x	24.74% / 3.08x	23.57% / 3.05x	22.51% / 3.01x
	3.39%	0.25%	28.41% / 3.23x	27.02% / 3.21x	25.76% / 3.19x	24.55% / 3.16x	23.47% / 3.13x
	3.64%	0.50%	29.48% / 3.35x	28.05% / 3.33x	26.76% / 3.31x	25.53% / 3.27x	24.42% / 3.24x

EFFECT ON LEVERED IRR / EQUITY MULTIPLE

Interest Rate

		Bridge Loan	7.59%	7.84%	8.09%	8.34%	8.59%
		Perm Loan	5.50&	5.75%	6.00%	6.25%	6.50%
Exit Cap Rate	5.25%	-0.50%	30.71% / 3.64x	29.34% / 3.62x	28.08% / 3.60x	26.88% / 3.56x	25.80% / 3.53x
	5.50%	-0.25%	29.01% / 3.37x	27.65% / 2.35x	26.40% / 3.33x	25.21% / 3.29x	24.14% / 3.26x
	5.75%	0.00%	27.34% / 3.12x	25.98% / 3.10x	24.74% / 3.08x	23.57% / 3.05x	22.51% / 3.01x
	6.00%	0.25%	25.69% / 2.89x	24.33% / 2.87x	23.11% / 2.85x	21.95% / 2.82x	20.91% / 2.79x
	6.25%	0.50%	24.04% / 2.68x	22.70% / 2.66x	21.48% / 2.64x	20.34% / 2.61x	19.32% / 2.58x

Risk Management & Downside Protection

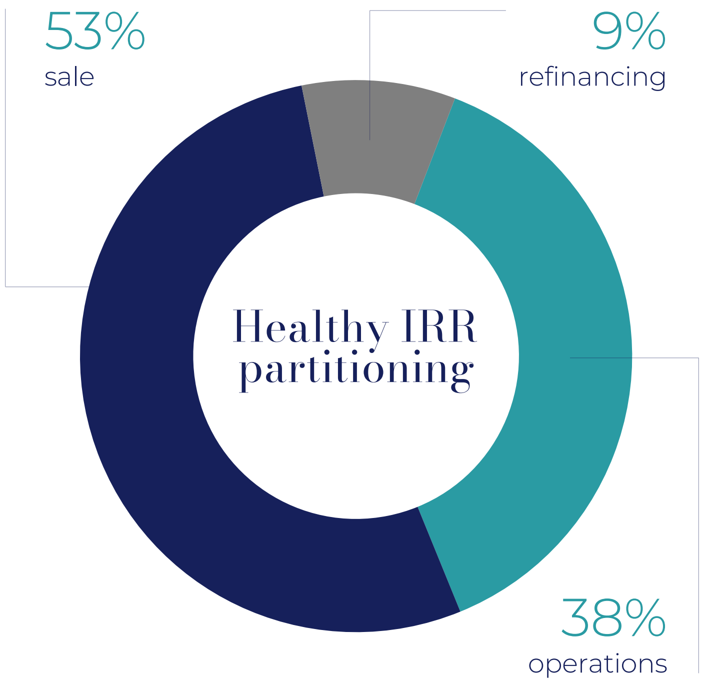
SOUTHGATE VENTURES

Proactive Risk Management for Investor Confidence

Southgate prioritizes capital preservation and downside protection through careful underwriting and robust risk mitigation.

$332K

working capital reserve



Experienced local management team

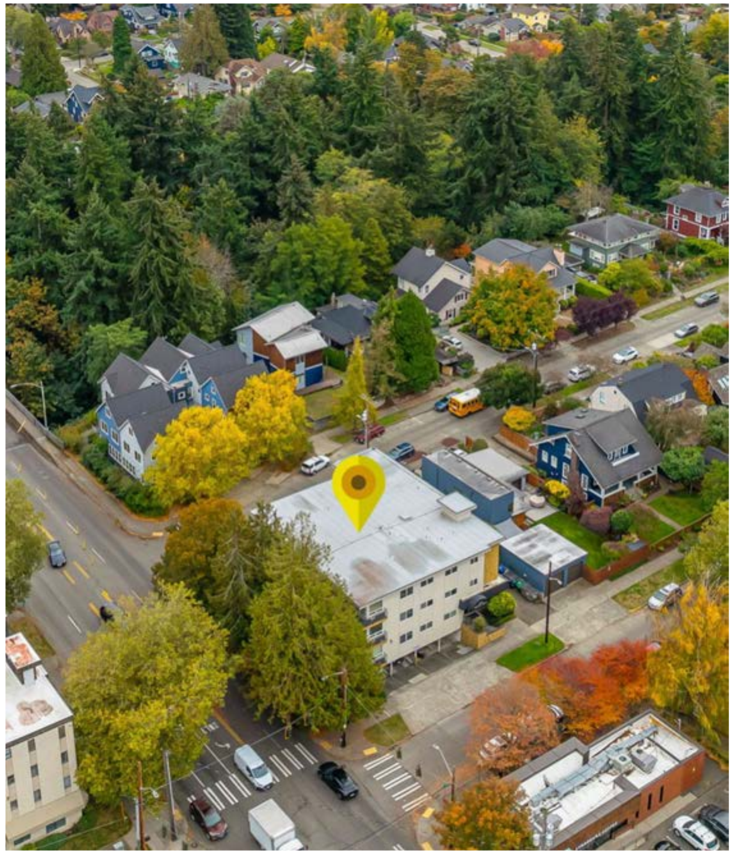
Thorough due diligence and contingency planning

Conservative Underwriting:

Interest rates, rent growth, expenses, leverage, exit cap rate

Risks vs. Mitigants

RISK	MITIGANT
Elevator modernization needed. Executed contract	**$230K** allocated for elevator modernization based on seller. A 10% ($50k) contingency is also included in budget
Galvanized plumbing copper	**$50K** allocated for remediation if needed. Majority of plumbing is copper. A 10% ($50k) contingency is also included in budget
Legacy tenants	**$25K** allocated for attorney costs & tenant buyout fees if needed.
Interest shortfall / DSCR of 0.98x at closing for interest shortfall	**$332K** allocated for working capital account which includes funds
Construction completion risk	The renovation components are not sizable except for elevator. Most work is aesthetic and no permits need to be filed and no architects are needed. A 10% ($50k) contingency is also included in budget.



Conservative Underwriting Analysis

METRIC	UNDERWRITING	PROJECTIONS
Rent Growth Rates (Next 4 Years)	2.5% - 3.0% annually	5.0%, 4.5%, 3.5%, 3.3% annually
Exit Cap Rate	5.5% - 6.0%	5.0% (CoStar Projection)
Interest Rate Scenario	Current rate maintained	Drop by 0.25% or 0.50% over the next 2 years
Cash-on-Cash Return (CoC)	7.5%	**8.3%** (0.25% drop in interest rate)
		9.3% (0.50% drop in interest rate)
Internal Rate of Return (IRR)	15%	**20%** (0.25% drop in interest rate)
		21% (0.50% drop in interest rate)
Loan Duration	Permanent loan over 10 years	Same; potential refinance at more favorable rates
Capital Expenditure Reserves	Higher (conservative allocation)	Lower (assuming value-add improvements pay off faster)
Debt Service Coverage Ratio (DSCR)	Stricter (1.3x - 1.5x)	In line with standard DSCR (1.2x)


Invest Confidently.
Grow Wealth
Securely.
Partner with Southgate Ventures Today.
SOUTHGATE
VENTURES

A Partnership Rooted in Trust and Performance

Southgate Venture's commitment **to transparency, investor satisfaction, and long-term returns** makes us the ideal partner for discerning investors.

Proven track record in Seattle's dynamic market.

Institutional expertise combined with local insights.

A vertically integrated model that maximizes value for investors.

I have been investing with Southgate Real Estate Ventures for over five years. During this time, Southgate has increased the value and quality of many properties, resulting in a strong return for me and the communities they invest in. I work with Southgate because of their expertise and local market knowledge. They also consider how best to improve a property to complement its surroundings. Investing in real estate is, in part, a way to play a role in improving the cities where we live, and Southgate does just that."

Matthew N.

Secure your financial future with Southgate Ventures

Investment Terms

506(c) offering, exclusively for accredited investors

$50,000
Minimum investment

7%
Preferred return

7 years
Anticipated hold period

70/30
Profit split (LP/GP) after pref

Regular reporting and transparent communication

Quarterly distributions

How to Invest with Southgate Ventures

A straightforward, seamless process to start growing wealth

01

Sign up as an accredited investor

02

Review the Private Placement Memorandum

03

Commit your investment through the online portal

04

Start receiving quarterly distributions once the project stabilizes.

Key Dates

Commitments Due
Nov 8, 2024

Participant´s Funding Due
Nov 15, 2024

Closing Date
Nov 25, 2024

Renovation Start
Nov 26, 2024

Stabilization Date
Feb 2025

Secure your stake in Seattle's thriving, multi-faceted real estate market

Limited availability in one of Seattle's hottest markets

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Strong cash flow potential with significant upside

Partner with Southgate Ventures to be part of Seattle's dynamic future

SOUTHGATE VENTURES

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www.sreventures.com